# Abercrombie & Fitch Co. (ANF): 2Q26 Review: Net sales and margin resilience stand out; raise PT to $160

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**What happened:** Materially better profitability on lower discounting, impressive non-comp contribution, and a stronger than expected inflection in the Abercrombie banner overshadowed a weak Hollister comp. Softness in Hollister appears to have been at least in part a result of purposeful inventory issues intended to put the banner on better footing to chase into August. Based on management's visibility into sequential acceleration 3QTD, that strategy seems to be paying off, with 3Q poised to achieve balanced AUR- and unit-driven growth.

**What changed:** In our view, management's efforts to shift the conversation from one concerned almost solely with comp growth to one informed by overall topline sales is gaining ground. After having laid the groundwork over multiple quarters, the channel and category expansion opportunity has finally begun lending credence to those efforts, supporting sequentially improving topline through 2H26 and bringing these contributions to the fore. More importantly, de-emphasis of segment level comp as the stock's north star did nothing to compromise underlying margin resilience, demonstrating that ANF can structurally maintain low-double digit operating margin despite both a flat comp and -120bps of drag from tariffs.

**Updating estimates (excludes impact of tariff refunds):** We lower our total 3Q comp -110bps to flat, raising our forecast for A&F by +100bps to +2% but trimming Hollister by -300bps to -1.0%, expecting continued though moderating EMEA pressure and only modest US improvement. We raise our total non-comp growth +210bps to 5.5% however (A&F: +6.0%; Hollister: +5.0%) as we expect a contribution to net sales growth from store openings and brand partnerships. We raise our total sales estimate by +1% to $1.37bil. For gross margin, we forecast +130bps of YoY expansion to 63.8% (previously 63.1%) baking in +40bps of tariff tailwind and +150bps of +MSD AUR improvement, offset by -60bps of freight headwind. With -50bps of selling margin delev and -40bps of G&A margin delev, we expect op margin to expand +40bps to 12.4%, down -40bps from prior. We raise our diluted EPS +2¢ to $2.80. For the full-year, we leave our total comp estimate unchanged at +1%, with better comp performance in A&F (up +180bps to +2%), weaker performance in Hollister (down -150bps to flat), and total non-comp up +130bps from prior to +4.4%. We raise our total sales estimate by +1% to $5.53bil. With sequentially stronger gross margin leverage in 4Q, we raise our FY26 gross margin by +80bps to 62.6% and take adj. EPS up +$1.00 to $11.45.

We leave our FY27/28 comp and non-comp estimates unchanged but flow through the +1% increase in FY26, bringing net sales to $5.75bil/$5.91bil, respectively. We

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assume margin progression off the higher FY26 base, raising our gross margin estimates by +80bps/+70bps to 62.7%/62.8% and our operating margin by +60bps/+70bps to 12.8%/12.9%. We now forecast adj. EPS up +85¢/+90¢ to $12.45/$13.45.

**Summarizing 2Q26:** ANF reported adjusted diluted EPS of $2.42 (excl. $1.75 benefit from tariff refunds), above GSe/VAe consensus of $1.99/$1.98. Total sales came in at $1.27bil, +1%/+2% above GSe/consensus. Total comparable store sales were reported at 0%, compared to GSe/consensus of -0.5%/+0.5%. Adjusted gross margin came in at 63.2%, expanding +60bps YoY, and +140bps above both GSe/consensus. Adjusted operating margin of 12.1% contracted -180bps YoY (lapping of lower payroll and incentive comp), but exceeded GSe/consensus by nearly +200bps. Below the line, lower tax vs our model added +3c of benefit to EPS.

A&F brand sales of $596.8mil for the period exceeded GSe/VAe by +2.5%/+3.3%, with a +4% comp above GSe/consensus of Flat/+1.4%. Hollister brand sales of $669.9mil was in-line with GSe/consensus, with higher non-comp contribution offsetting a miss of -100bps/-40bps vs GSe/consensus.

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**Exhibit 1: Modest top-line beat with better than expected A&F comp; bottom-line beat from better than expected margin leverage, with +4¢ benefit from higher interest income vs GSe**
ANF 2Q26 Earnings Variance

## ANF Earnings Variance for 2Q26

**Press release at 7.30am ET**

| | 2Q26A | GSe | Var. | 2Q25 | Var. | VAe | Var. |
|---|---|---|---|---|---|---|---|
| Sales | 1,266.7 | 1,252.0 | 1.2% | 1,208.6 | 4.8% | 1,243.8 | 1.8% |
| COGS | 466.1 | 477.9 | -2.5% | 451.6 | 3.2% | 475.5 | -2.0% |
| **Gross Profit** | **800.6** | **774.2** | **3.4%** | **757.0** | **5.8%** | **768.3** | **4.2%** |
| Selling | 444.0 | 457.1 | -2.8% | 418.2 | 6.2% | 452.7 | -1.9% |
| G&A | 204.8 | 189.7 | 8.0% | 171.0 | 19.7% | 187.6 | 9.2% |
| Other Loss | (0.9) | (0.8) | -26.1% | (0.4) | -156.4% | (1.3) | 25.6% |
| **Adj. Operating Profit** | **152.7** | **128.2** | **19.1%** | **168.1** | **-9.2%** | **128.5** | **18.8%** |
| Interest Exp. | (4.5) | (4.5) | -0.2% | (2.5) | -82.2% | (4.1) | -10.6% |
| Pre-Tax income | 157.2 | 132.7 | 18.5% | 170.6 | -7.8% | 132.6 | 18.6% |
| Tax | 48.8 | 42.5 | 14.8% | 56.1 | -13.0% | 42.4 | 15.0% |
| NCI | 1.8 | 1.3 | 37.1% | 2.0 | -9.3% | 1.6 | 12.7% |
| Adj. Net Income | 106.6 | 88.9 | 20.0% | 112.5 | -5.2% | 88.6 | 20.3% |
| **Adj. EPS** | **$2.42** | **$1.99** | **21.4%** | **$2.32** | **4.5%** | **$1.98** | **22.1%** |
| DSO | 44.1 | 44.6 | -1.2% | 48.6 | -9.3% | 44.7 | -1.4% |
| **I/S Ratios** | | | | | | | |
| Gross Margin | 63.2% | 61.8% | 140 bps | 62.6% | 60 bps | 61.8% | 140 bps |
| Selling Ratio | 35.1% | 36.5% | (140 bps) | 34.6% | 50 bps | 36.4% | (130 bps) |
| G&A Ratio | 16.2% | 15.2% | 100 bps | 14.2% | 200 bps | 15.1% | 110 bps |
| Operating Margin | 12.1% | 10.2% | 190 bps | 13.9% | (180 bps) | 10.3% | 180 bps |
| Tax Rate | 31.0% | 32.0% | (100 bps) | 32.9% | (190 bps) | 32.0% | (100 bps) |
| Net Margin | 8.4% | 7.1% | 130 bps | 9.3% | (90 bps) | 7.1% | 130 bps |
| **Segment Details** | | | | | | | |
| Abercrombie | 596.8 | 582.2 | 2.5% | 551.9 | 8.1% | 577.6 | 3.3% |
| Hollister | 669.9 | 669.8 | 0.0% | 656.7 | 2.0% | 666.2 | 0.5% |
| **Net Sales** | **1,266.7** | **1,252.0** | 1.2% | **1,208.6** | 4.8% | **1,243.8** | 1.8% |

**Growth Details**

**2Q26A Segment Detail**

| | Net Sales | New Store/Other | FX | Comp Sales |
|---|---|---|---|---|
| Abercrombie | 8.1% | 4.1% | 0.0% | 4.0% |
| Hollister | 2.0% | 5.0% | 0.0% | -3.0% |
| **Total ANF** | **4.8%** | **4.8%** | **0.0%** | **0.0%** |

| Comp | vs GSe | vs VAe |
|---|---|---|
| Abercrombie | 400 bps | 260 bps |
| Hollister | (200 bps) | (260 bps) |
| **Total ANF** | 50 bps | (50 bps) |

**GSe Segment Detail**

| | Net Sales | New Store/Other | FX | Comp Sales |
|---|---|---|---|---|
| Abercrombie | 5.5% | 5.0% | 0.5% | 0.0% |
| Hollister | 2.0% | 2.0% | 1.0% | -1.0% |
| **Total ANF** | **3.6%** | **3.4%** | **0.8%** | **-0.5%** |

**VAe Segment Detail**

| | Net Sales | New Store/Other | FX | Comp Sales |
|---|---|---|---|---|
| Abercrombie | 4.7% | 3.3% | | 1.4% |
| Hollister | 1.5% | 1.9% | | -0.4% |
| **Total ANF** | **2.9%** | **2.5%** | **0.3%** | **0.5%** |

Source: Company data, Visible Alpha Consensus Data, Goldman Sachs Global Investment Research

**FY26 guidance summary:** ANF raised FY26 guidance above GSe and VAe, including net sales growth of 5%, operating margin of 12.3% to 12.8% (excl. +220bps of tariff refund benefit), and diluted EPS of $11.00 to $11.50 (excl. $2.10 of tariff refunds) compared to GSe/consensus of $10.45/$10.71.

**3Q26 guidance summary:** Sales for the quarter was guided to growth of 5% to 6% above GSe and VAe, with 3Q EPS guide of $2.55 to $2.85 bracketing GSe/consensus of $2.78/$2.83, helped by slightly lower tax despite a lower operating margin guide of 11.4% to 12.4% below GSe and consensus (excl. +160bps of tariff refund favorability). Implied 4Q guide calls for net sales growth of +7%, above going-in forecasts, and EPS in the range of $4.56 to $4.76 (GSe/VAe $4.27/$4.54).

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**Exhibit 2: ANF raised FY26 guidance above expectations; 3Q sales guide was above expectations and EPS in-line**
ANF 3Q26 and FY26 Guidance vs Prior GSe and VAe

| ANF 3Q26 Guidance Variance | | | |
|---|---|---|---|
| | Guidance | Prior GSe | VAe |
| Net Sales | 5% to 6% | +5.0% | +4.0% |
| Operating Margin | 11.4% to 12.4%, excl.+160bps of tariff refunds | 12.8% | 13.1% |
| Effective Tax Rate | ~29% | 30% | 29.9% |
| EPS | $2.55 to $2.85 (excl. $0.35 of tariff refunds) | $2.78 | $2.83 |
| Diluted shares outstanding | ~43mil | 44.1 | 43.6 |
| Share repo | At least $100mil | $95mil | $98.5mil |

| ANF FY26 Guidance Variance | | | | |
|---|---|---|---|---|
| | Guidance | Prior Guidance | Prior GSe | VAe |
| Net Sales | ~5% | 3% to 5% | +3.8% | +3.5% |
| Operating Margin | 12.3% to 12.8%, excl. +220bps of tariff refunds | 12% to 12.5% | 12.0% | 12.3% |
| Effective Tax Rate | ~29% | ~30% | 30.1% | 30.0% |
| Diluted EPS | $11.00 to $11.50 (excl. $2.10 of tariff refunds) | $10.20 to $11.00 | $10.45 | $10.71 |
| Diluted shares outstanding | 44mil | ~45mil | 44.5 | 44.1 |
| Share repo | At least $500mil | ~$450mil | 450.0 | $449.9mil |
| CapEx | ~$250mil | $200mil to $225mil | 223.2 | 225.0 |
| Net store openings (closures) | ~30 | ~30 | 30 | 31 |
| Openings | 50 | 50 | | |
| Closures | 20 | 20 | | |

Source: Company data, Visible Alpha Consensus Data, Goldman Sachs Global Investment Research

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### Valuation & Risks

We are Buy rated on ANF with a $160 (previously $124), 12-month price target based on a target P/E multiple of 12.5x (previously 10.5x) on our raised Q5-Q8 EPS estimates. We raise our target multiple 2 turns to reflect what we see as resilient pricing power and underlying margin strength. **Key downside risks include:** (i) brand differentiation unclear and (ii) store footprint approaching untested waters, albeit with a better toolkit, (iii) sequentially weakening comp sales momentum.

| ANF | 12m Price Target: **$160.00** | Price: **$147.75** | Upside: **8.3%** |
|---|---|---|---|

**Buy**

Market cap: $6.5bn
Enterprise value: $5.7bn
3m ADTV: $153.0mn
United States
Americas Specialty and Apparel Retail
M&A Rank: 3

## GS Forecast

| | 1/26 | 1/27E | 1/28E | 1/29E |
|---|---|---|---|---|
| **Revenue ($ mn) New** | **5,266.3** | **5,534.1** | **5,744.9** | **5,911.6** |
| Revenue ($ mn) Old | 5,266.3 | 5,466.5 | 5,674.8 | 5,839.5 |
| **EPS ($) New** | **9.86** | **11.45** | **12.45** | **13.45** |
| EPS ($) Old | 9.86 | 10.45 | 11.60 | 12.55 |
| P/E (X) | 9.0 | 12.9 | 11.9 | 11.0 |
| EV/EBITDA (X) | 4.3 | 6.6 | 5.7 | 5.1 |
| FCF yield (%) | 8.8 | 8.7 | 8.4 | 8.8 |
| Dividend yield (%) | – | – | – | – |
| Net debt/EBITDA (X) | (0.9) | (0.9) | (1.0) | (1.2) |

| | 7/26 | 10/26E | 1/27E | 4/27E |
|---|---|---|---|---|
| EPS ($) | 2.42 | 2.80 | 4.87 | 1.76 |

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 26 Aug 2026 close.

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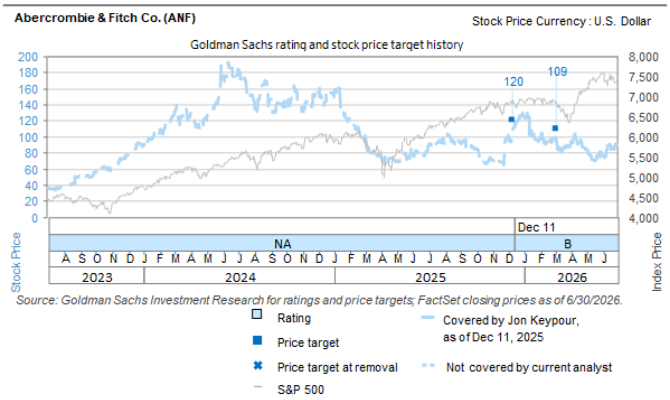
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### Abercrombie & Fitch Co. (ANF)

| Date of report | Target price ($) | Closing price ($) |
|---|---|---|
| 12-Aug-26 | 124.00 | 112.23 |
| 05-Mar-26 | 109.00 | 88.40 |
| 11-Dec-25 | 120.00 | 110.13 |

Price targets shown in table(s) are unadjusted for corporate actions.

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